

• Computer Contracts

Date: _____

• Project Procurement Management Processes

- 1) Procurement Planning → • deciding what needs to be purchased and when.
- 2) Solicitation Planning → • Documenting project requirements & identifying possible suppliers.
- 3) Solicitation → collecting quotations, bids, offer from vendors.
- 4) Source selection → Evaluating proposals & selecting most suitable vendor.
- 5) Contract administration → Managing & monitoring relationship with vendor to ensure contract compliance.
- 6) Contract close-out → Finalizing & settling the contract resolving any remaining issues.

• Tools & techniques → Make-or-buy Analysis

For IT we should consider

Installation, Training, Maintenance, support cost (Total life-cycle cost)

• Advise from internal & external experts.

• Contract must have Statement of work (SOW)

- What work will be done
- How it will be done.
- Deliverables
- Time & cost expectations.

• Types of Contracts

1) Fixed Price → • Vendor more risk.

2) Cost Reimbursable Contract → • Buyer pays vendor for actual costs spent on the project

3) Unit Price Contract • Buyer more risk.



• Vendor paid for per unit work.

• e.g., no. of hours worked.

• Risk shared between buyer & vendor.

Types → CPTF/CPTF/CPTF

a) Cost Plus Incentive Fee (CPTIF)

- Buyer pays actual cost
- Vendor gets fixed fee + Bonus.

b) Cost Plus fixed fee (CPTFF)

- no bonus.

c) Cost Plus % of cost.

- actual cost by buyer.
- Vendor gets % of total cost.

- **Solicitation Planning** → • Preparing documents to ask vendors to submit their offers & deciding how those offers will be evaluated.

- Documents Used are • RFP (Request for Proposal)
 - ITQ / Tender - Price is main factor

- **Solicitation Process** (inviting vendors & collecting their proposals)

- Advertising the requirement
- Obtaining proposals/bids.
- Open bidding
- Competitive bidding
- Bidders conference.

- **Source Selection Process**. (Evaluate bids & select the winner)
 Evaluate proposals → Shortlist vendors → Solution presentation → Choose best solution
 Notify all bidders ← Award Contract (Letter of Intent issued) ← Negotiate Contract ← BAFO (Best & final offer)

- **Contract Administration** (Managing Vendor after contract award)
 - Vendor does what was promised in the contract.

- **Change Control** (Project change but changes must be controlled).
 Rules:- 1) Any change must be reviewed, approved or documented.
 2) Impact Analysis → How the change affects: (scope, time, cost, quality, Tripe constraints)

• AD IDEM - Meeting of minds

Both parties understand contract in exactly same way.

- Plurality of parties → must be at least 2 parties
- Consensus ad item → All parties agree on same thing.

- Elements of Contract

offer → acceptance → consideration

• Contract Assessment

1) What if

- Software contains bugs
- Software goes down
- Client copies program & distributes it
- Program runs slowly to be of no practical use

• Terms & Conditions

Just Read



- 1) What is to be produced?
- 2) What is to be delivered?
- 3) Ownership of Rights
- 4) Confidentiality
- 5) obligation of client
- 6) standards & methods of working
- 7) Project Management
- 8) Acceptance Procedure
- 9) Indemnity (Protection against loss or damage)
- 10) Termination of Contract
- 11) Arbitration (solving disputes outside court)
- 12) Inflation
- 13) Applicable law

• Types of Contract

- 1) Quotation
- 2) Tender (invitation to bid for a project)
- 3) Vendor Pre-Qualification (filters vendors and only qualified vendors applied)
- 4) Expression of Interest (EOI) (document showing serious intention to participate)
- 5) Request for information (RFI) → collect general information from vendor
- 6) Request for Quotation (RFQ) → ASK vendors for price
- 7) Request for Proposal (RFP) → detailed solution & bids

• Computer Contracts

requirements clear with fixed features
giving someone

- 1) Fix Price Contracts for Bespoke systems
- 2) Consultancy & Contract Hire. (mostly fix-price)

↓
up market version of contract hire.

↓
Supplier provides staff to a customer for fix or day rate.

- 3) Cost plus Contracts / Time & material contracts
 - Actual + Agreed rate
cost or margin
 - Used when work not specified + scope may change
- 4) Outsourcing Contract.
 - ↓
facilities management.

- 5) Web hosting Contract (how system will be hosted, managed & supported by service provider)
 - Collocation vs Hosting
 - ↓
 - customer owns server
 - Provider owns & manages server.

Types of License Restrictions.

- Desktop License / Single copy → (can be used on one computer only)
- Server License / Multiple Copies per server
 - Software runs on server.
 - Many users can access it.
- Site License (can be used on many computers, only in specified location)

Software Business Models

- 1) Value Proposition (promise of value to be delivered)
- 2) Customer Relationship Management (CRM)
Data + Customers + Relationships
- 3) Revenue Model → How a business make money.
 - Production Model (creates product/service & sells directly to customers)
 - Manufacturing Model (selling finished goods produced using labour or material)
 - Construction Model (Revenue from building projects for a specific client at specific location)
 - Rental/Leasing Model (customers pay for temporal use of assets)
 - Advertising Model (google, newspaper)
 - Sponsored Linking Model (google sponsored ads)
 - Commission Model (Brokers)
 - Ecommerce Model. (Amazon)
 - Fee For Service Model (customers pay only for what they use)
 - Licensing Model (company sells usage rights, not ownership)
 - Software Licensing Model (MS office)
 - Shareware Model (Try software for free & encourages payments later)